

Chapter

Financial Decisions For startups



Importance of Financial Decisions

- Sound **financial decisions are critical for a startup's survival** and long-term success, acting as a strategic roadmap for growth and stability. Without effective financial planning and management, even innovative ideas can fail due to issues like running out of cash.
 - **Ensures Survival and Solvency**
 - **Guides Strategic Planning**
 - **Attracts Investors**
 - **Mitigates Risk and Uncertainty**
Enables Informed Decision-Making



The Impact of Financial Decisions on Startup Success

Capital Structure and Funding Sources

Cash Flow Management

Investment Decisions

Financial Forecasting and Budgeting

Exit Strategies



Sources of Finance



Owner's Equity

Working back of profit

Shares

Initial investment



Debt Financing

Debenture

Financial institution

Customer advances

Financial Objectives of a Firm (1 of 3)

Primary Financial Objectives of Entrepreneurial Firms

Profitability

A company's ability to make a profit

Liquidity

A company's ability to meet its short-term obligations

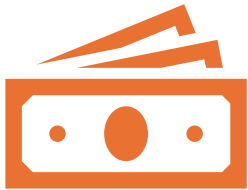
Efficiency

How productively a firm utilizes its assets

Stability

The overall health of the financial structure of the firm, particularly as it relates to its debt-to-equity ratio

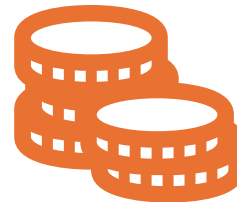
Financial Objectives of a Firm (2 of 3)



Profitability

Is the ability to earn a profit.

- Many start-ups are not profitable during their first one to three years while they are training employees and building their brands.
- However, a firm must become profitable to remain viable and provide a return to its owners.

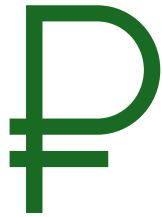


Liquidity

Is a company's ability to meet its short-term financial obligations.

- Even if a firm is profitable, it is often a challenge to keep enough money in the bank to meet its routine obligations in a timely manner.

Financial Objectives of a Firm (3 of 3)



Efficiency

Is how productively a firm utilizes its assets relative to its revenue and its profits.

- Southwest Airlines, for example, uses its assets very productively. Its turnaround time, or the time its airplanes sit on the ground while they are being unloaded and reloaded, is the lowest in the airline industry.



Stability

Is the strength and vigor of the firm's overall financial posture.

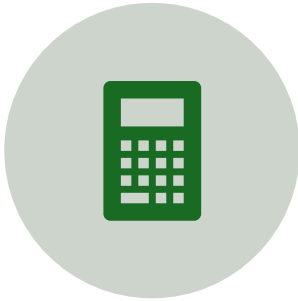
- For a firm to be stable, it must not only earn a profit and remain liquid but also keep its debt in check.

Financial Statements

- **Income statement**
- **Cash flow statement**
- **Balance sheet**



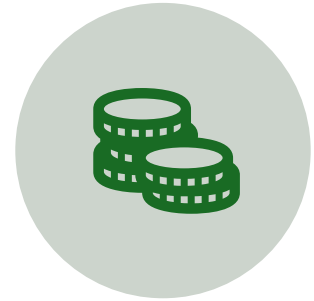
Difference



PRINCIPLE OF
ACCOUNTING

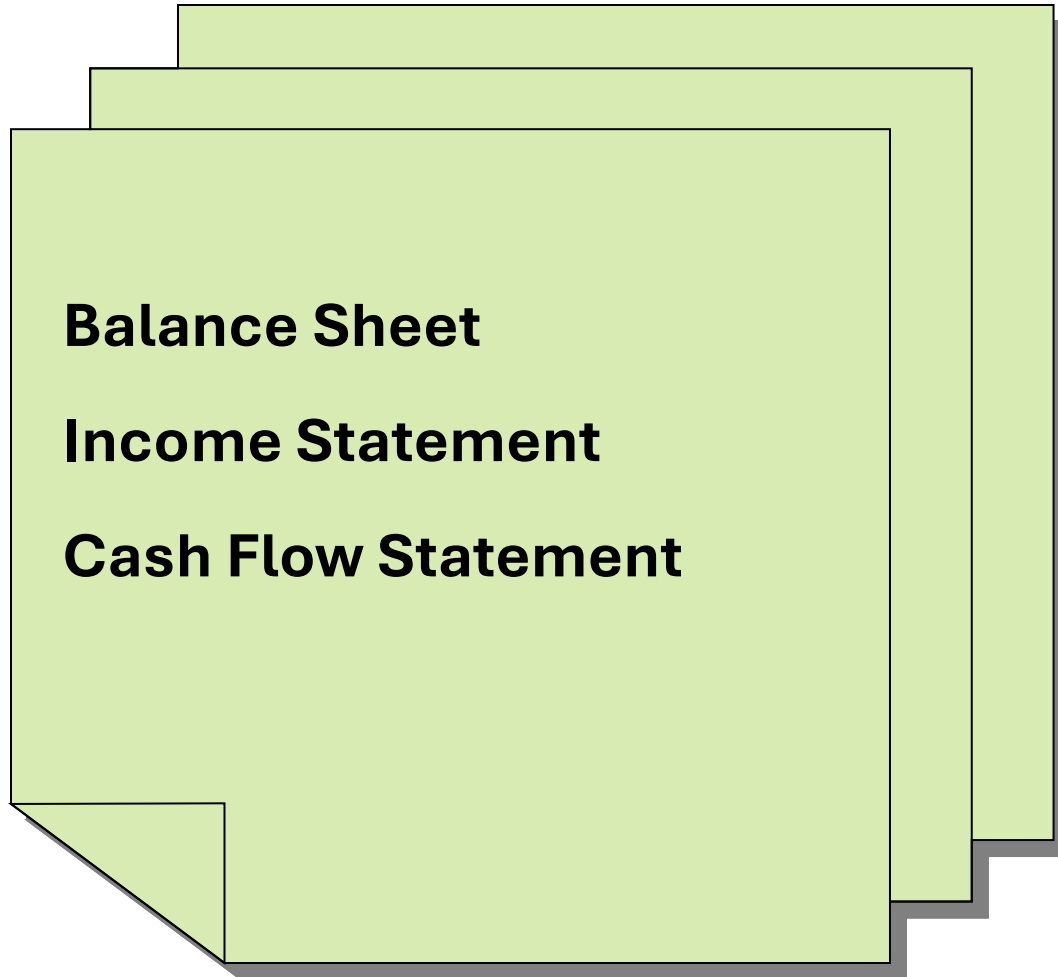


COST
ACCOUNTING



FINANCIAL
MANAGEMENT

Primary Financial Statements

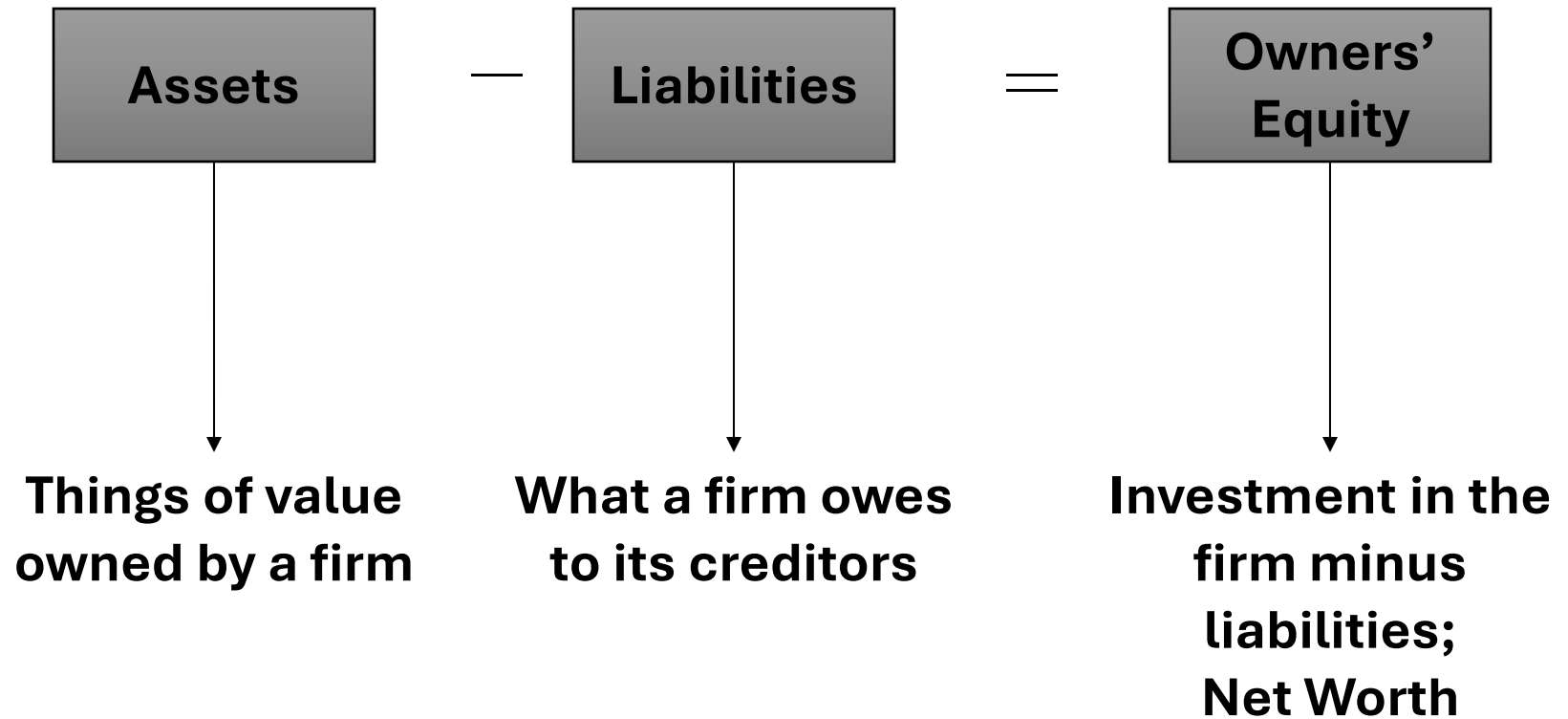


Balance Sheet

Income Statement

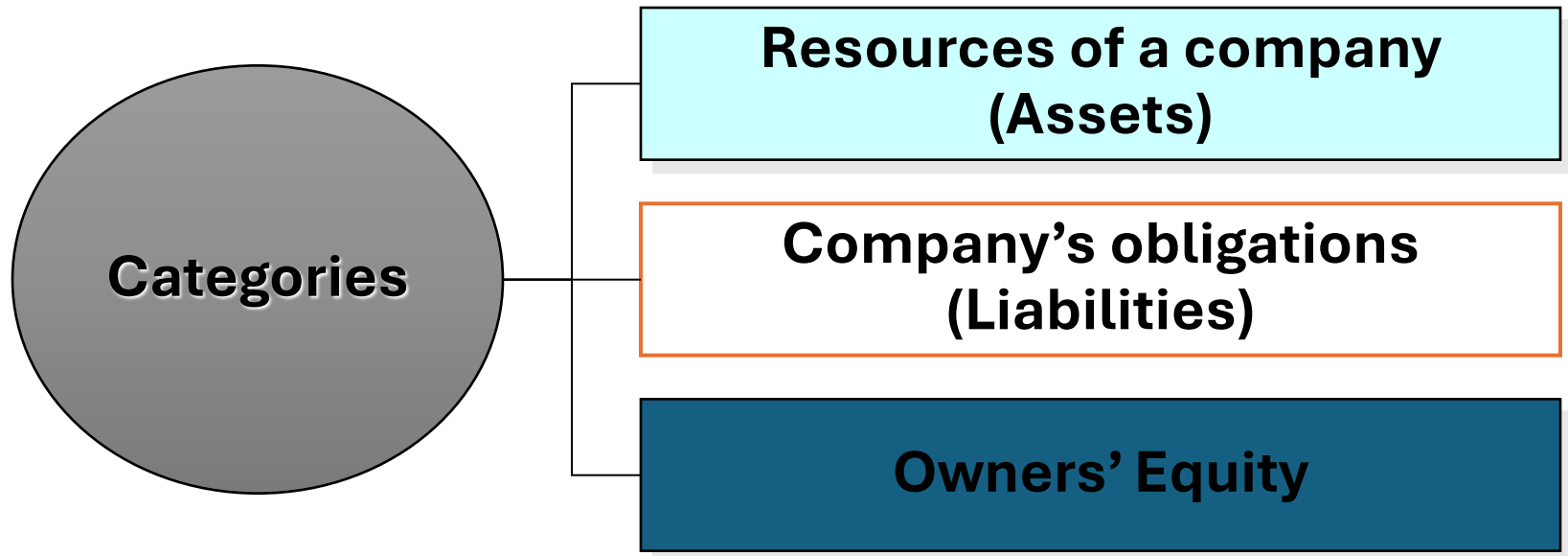
Cash Flow Statement

The Accounting Equation

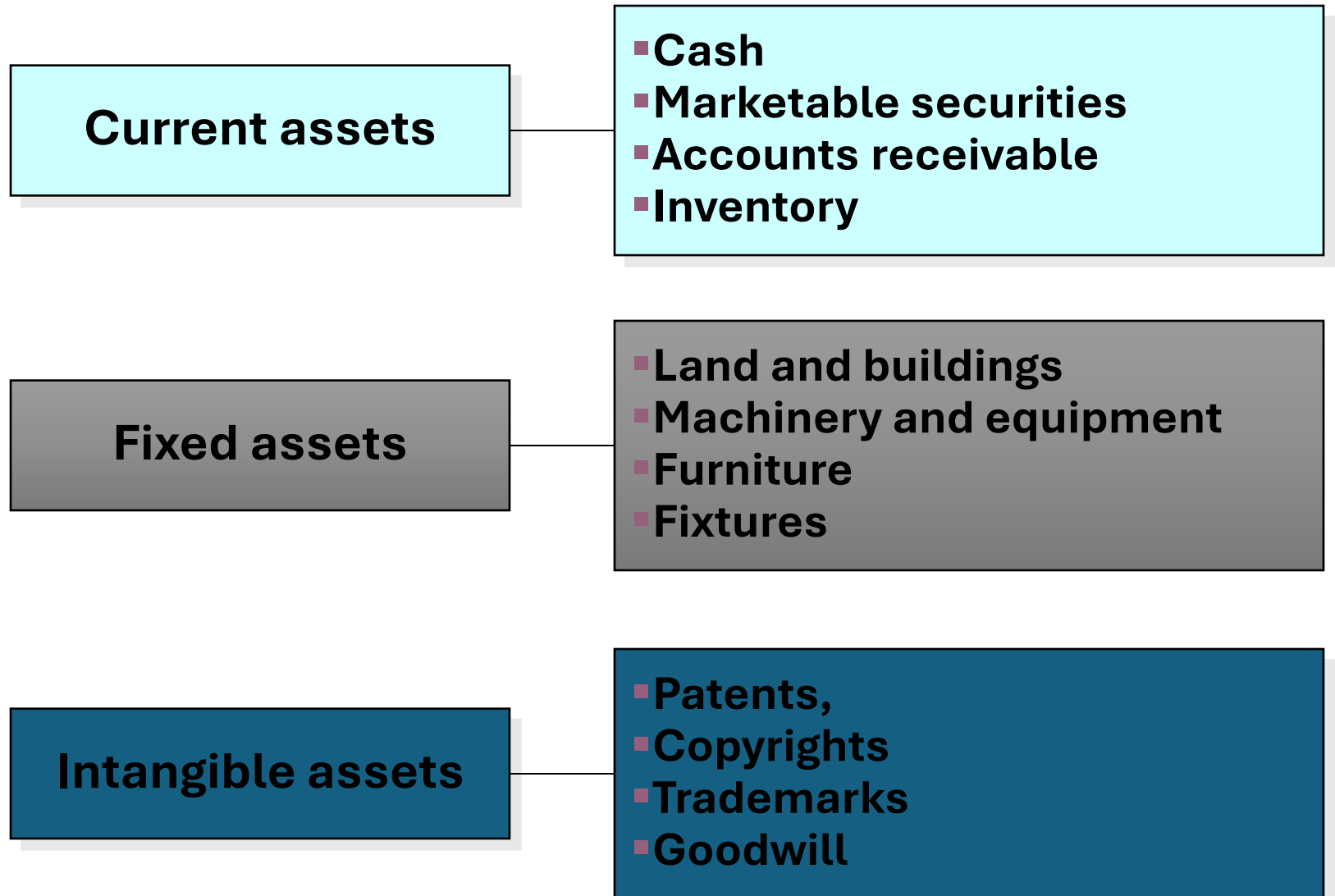


Balance Sheet

The Balance Sheet



Assets



Liabilities

Current liabilities

- **Accounts payable**
- **Notes payable**
- **Accrued expenses**
- **Income taxes payable**
- **Current portion of long-term debt**

Long-term liabilities

- **Bank loans**
- **Mortgages on buildings**
- **Company's bonds sold to others**

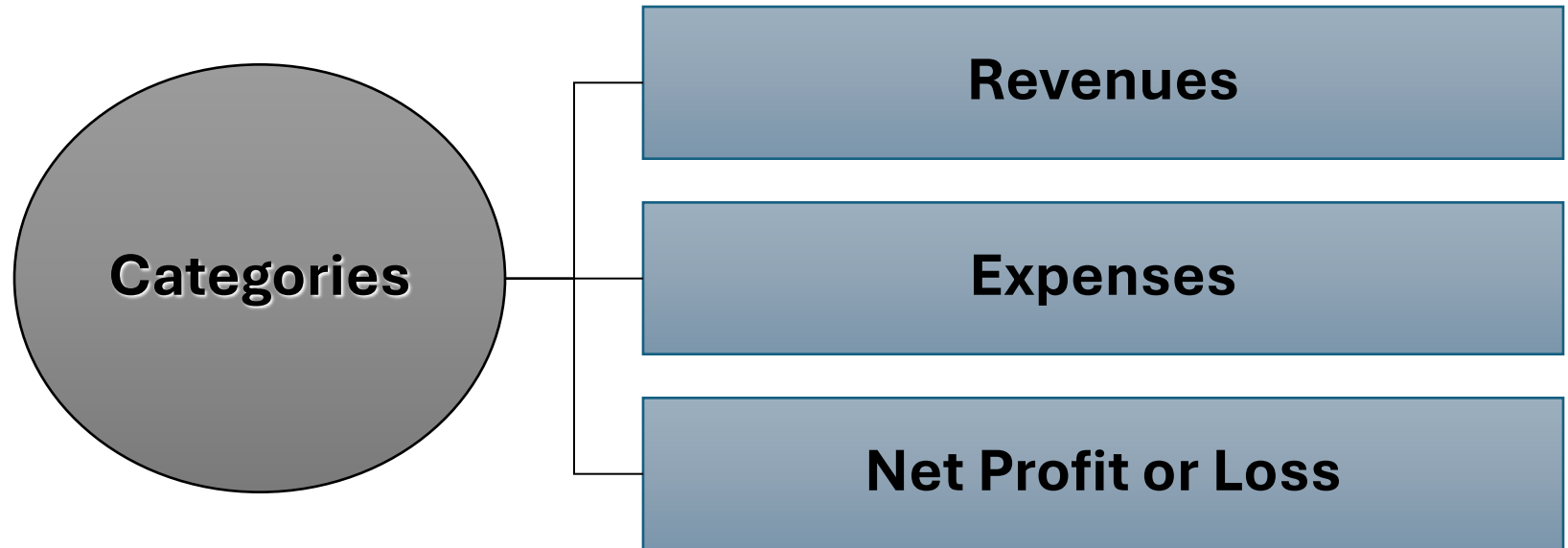
Owners' Equity

Owners' Equity

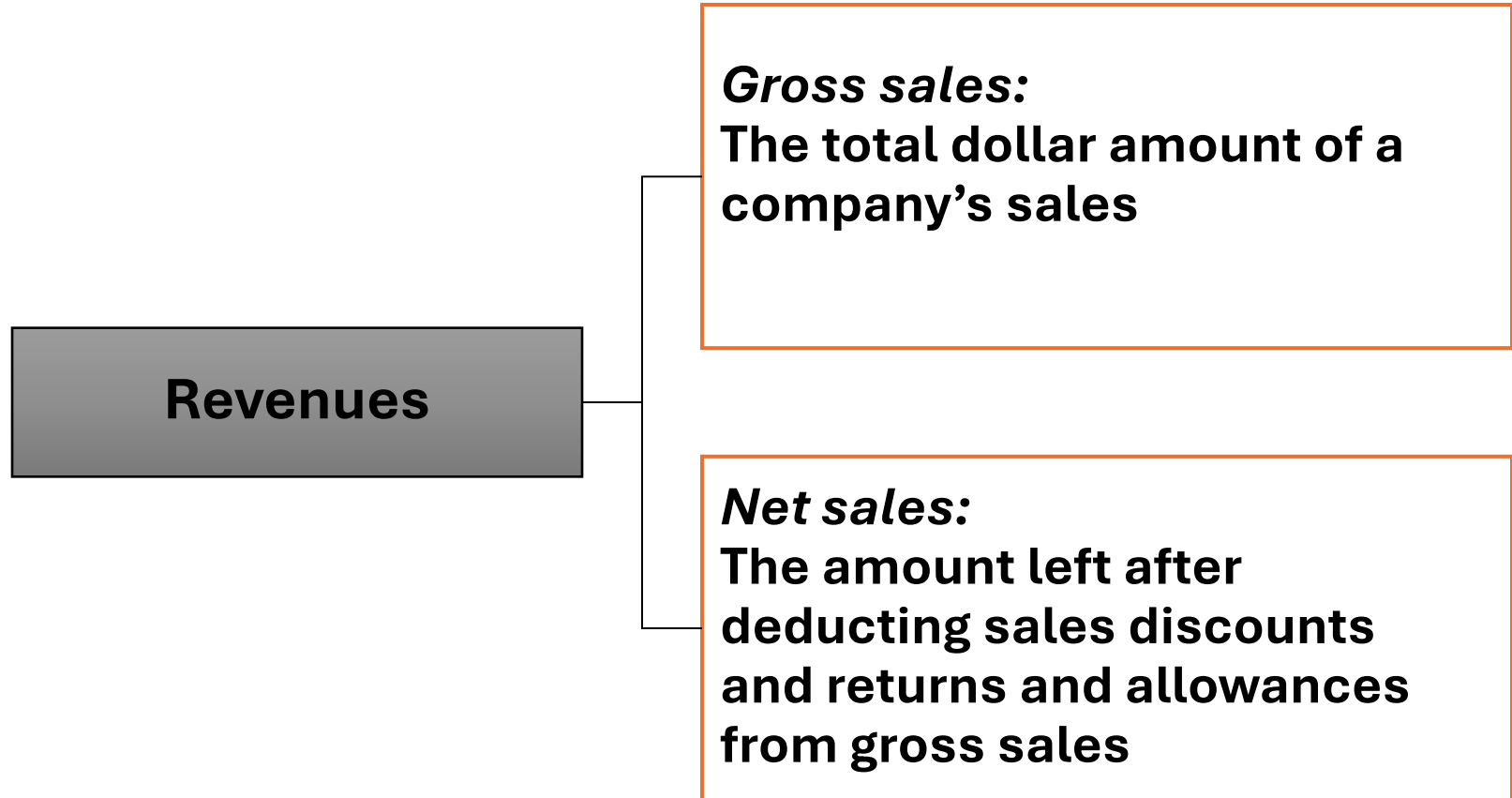
- **Owners' total investment after all liabilities have been paid**

Income Statement

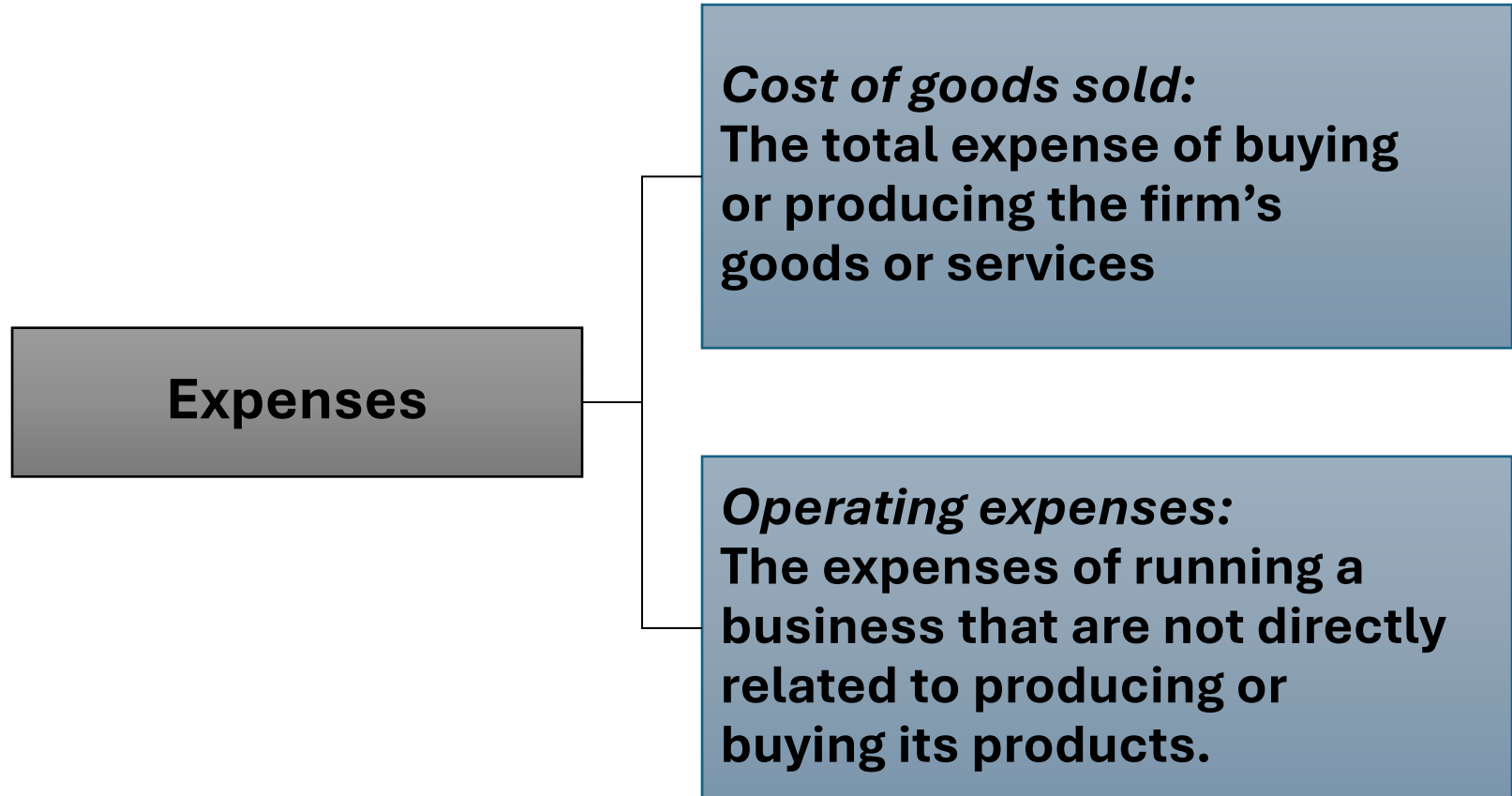
The Income Statement



Revenues



Expenses



Net Profit or Loss

Net Income

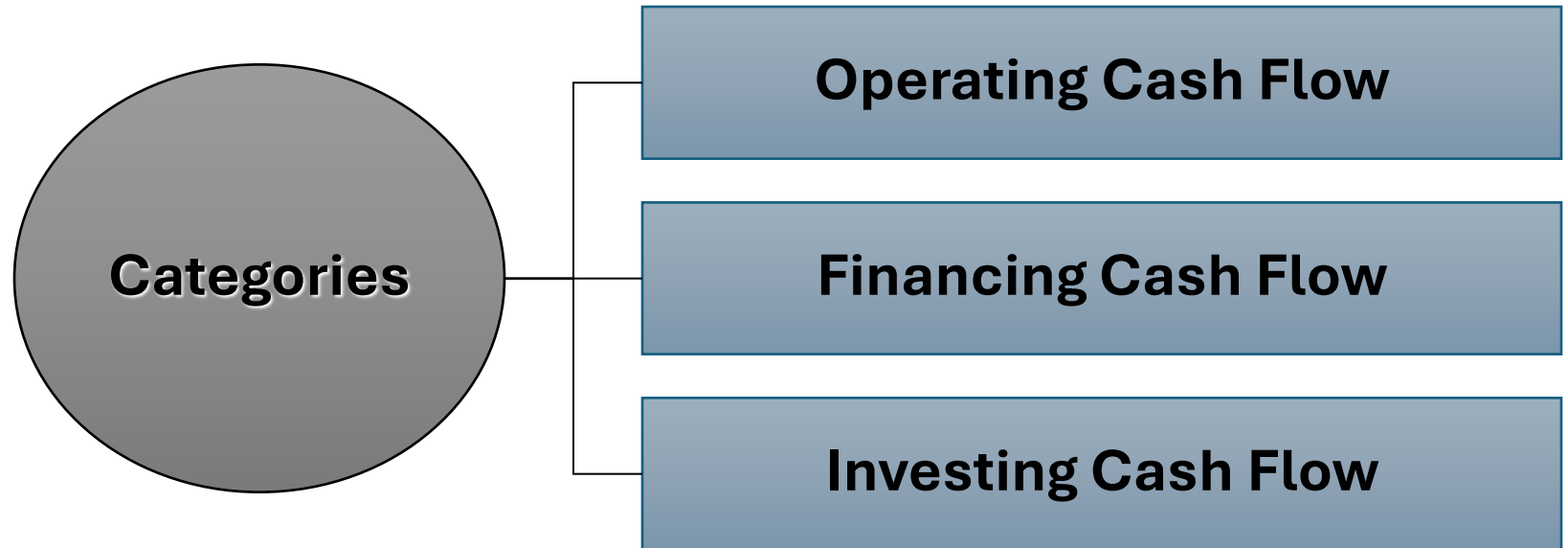
Obtained by subtracting a firm's expenses from revenues (when revenues are more than expenses)

Net Loss

Obtained by subtracting a firm's expenses from revenues (when expenses are more than revenues)

Cash Flow Statements

The Cash Flow Statement



The Cash Flow Statements

The 3 parts of a cash flow statement



Operating activities
from the daily tasks
that keep your
business running.



Investing activities
from buying
and selling
company assets.



Financing activities
from receiving funding
via investors, loans,
or fundraising.

Performance metrics

- Cash
- Sales/turnover
- Profit margins
- Break Even Point
- Productivity
- Debtors/receivables turnover
and/or stock/inventory turnover

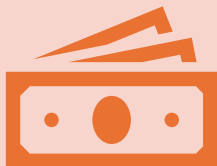
Tell you different things



Pay back period



The length of time required to recover the cost of an investment. The payback period of a given investment or project is an important determinant of whether to undertake the position or project, as longer payback periods are typically not desirable for investment positions. Calculated as



**Payback Period = Cost of Project /
Annual Cash Inflows**

Break even point

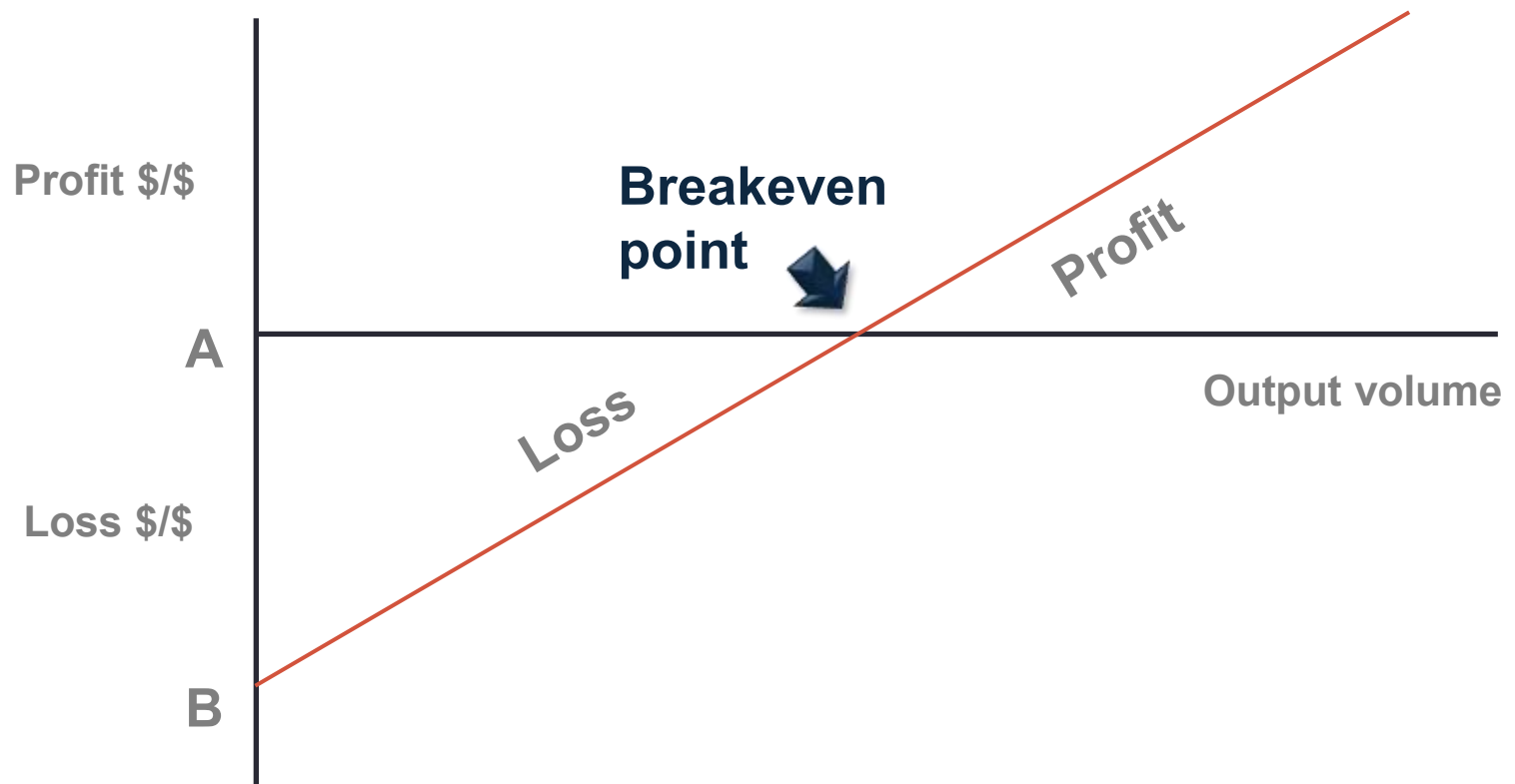


It is the point in business cycle where net cost is equal to its net revenue. This point is called “*no profit no loss*” situation.



Break Even Sales in Rs. = $\text{Fixed Cost} / 1 - (\text{Variable Cost} / \text{Sales})$

Breakeven



Let's take an example

- **Fixed Costs:** Say you have \$10,000 in fixed costs (rent, salaries, etc.) every month.
- **Selling Price:** You sell a product for \$100 each.
- **Variable Cost:** The cost to make each product is \$20.
- **Contribution Margin:** The difference between selling price and variable cost ($\$100 - \$20 = \$80$) is your contribution margin. This is the amount each sale contributes towards covering your fixed costs.
- **Break-Even Point:** To cover your fixed costs, you need to make \$10,000. If your fixed costs are \$10,000 and your contribution margin is \$80, you need to sell $\$10,000 / \$80 = 125$ units to break even. This means you've covered all your costs and haven't made any profit or loss.



Benefits / Advantages of Break-Even Analysis:



The main **advantages of break even point analysis** is that it explains the relationship between cost, production, volume and returns.



It can be extended to show how changes in fixed cost, variable cost, commodity prices, revenues will effect profit levels and break even points.



Break even analysis is most useful when used with partial budgeting, capital budgeting techniques.



The major **benefits** to use break even analysis is that it indicates the lowest amount of business activity necessary to prevent losses.

Getting Financing or Funding



Understanding Financial Decision Making

Holistic Approach

Financial Literacy

Rational Choice Theory

Cultural Perspectives

Behavioral Economics

Emotional Factors

Prospect Theory

Heuristics and Mental Shortcuts

Time Discounting

Social Influence



The Importance of Getting Financing or Funding

The Nature of the Funding and Financing Process

- Few people deal with the process of raising investment capital until they need to raise capital for their own firm.
- As a result, many entrepreneurs go about the task of raising capital haphazardly because they lack experience in this area.

Why Most New Ventures Need Funding

- There are three reasons most new ventures need to raise money during their early life.
- The three reasons are shown on the following slide.

Why Most New Ventures Need Financing or Funding

THREE REASONS START-UPS NEED FUNDING

Cash Flow Challenges

Inventory must be purchased, employees must be trained and paid, and advertising must be paid for before cash is generated from sales.

Capital Investments

The cost of buying real estate, building facilities, and purchasing equipment typically exceeds a firm's ability to provide funds for these needs on its own.

Lengthy Product Development Cycles

Some products are under development for years before they generate earnings. The up-front costs often exceed a firm's ability to fund these activities on its own.

Alternatives for Raising Money for a New Venture



Personal Funds



Debt Financing



Equity Capital



Creative Sources

Sources of Personal Financing (1 of 2)

Personal Funds

- The vast majority of founders contribute personal funds, along with sweat equity, to their ventures.
 - Sweat equity represents the value of the time and effort that a founder puts into a new venture.

Friends and Family

- Friends and family are the second source of funds for many new ventures.

Sources of Personal Financing (2 of 2)

- Bootstrapping
 - A third source of seed money for a new venture is referred to as bootstrapping.
 - Bootstrapping is finding ways to avoid the need for external financing or funding through creativity, ingenuity, thriftiness, cost cutting, or any means necessary.
 - Many entrepreneurs bootstrap out of necessity.



Examples of Bootstrapping Methods (1 of 2)



Buy used instead of new equipment.



Coordinate purchases with other businesses.



Lease equipment rather than buying.



Obtain payments in advance from customers.



Minimize personal expenses.



Avoid unnecessary expenses, such as lavish office space or furniture.

Examples of Bootstrapping Methods (2 of 2)



Buy items cheaply, but wisely, through discount outlets or online auctions such as eBay, rather than at full-price stores.



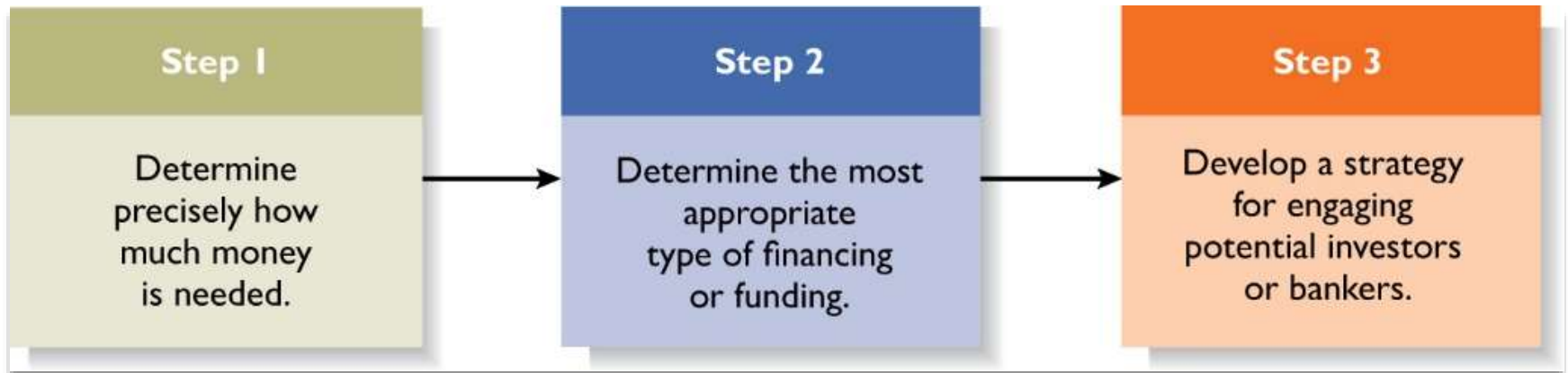
Share office space or employees with other businesses.



Hire interns.

Preparing to Raise Debt or Equity Financing (1 of 3)

PREPARATION FOR DEBT OR EQUITY FINANCING



Preparing to Raise Debt or Equity Financing

(2 of 3)

Two Most Common Alternatives

Equity Funding

- Means exchanging partial ownership in a firm, usually in the form of stock, for funding.

Debt Financing

- Is getting a loan.

Sources of Equity Funding

- Business Angels
- Venture Capital
- Initial Public Offerings



Business Angels (1 of 4)



Are individuals who invest their personal capital directly in start-ups.



The prototypical business angel is about 50 years old, has high income and wealth, is well educated, has succeeded as an entrepreneur, and invests in companies that are in the region where he or she lives.



Angel investors generally invest between \$10,000 and \$500,000 in a single company and are looking for companies that have the potential to grow 30 to 40 percent per year before they are acquired or go public.

Business Angels (2 of 4)



Many well-known companies, including Apple and Google, received their initial investment from one or more angel investors.



The number of angel investors in the United States, which is estimated to be around 304,900, has increased dramatically over the past decade.



Many angels are motivated by more than financial returns: they enjoy the process of mentoring a new start-up.

Business Angels (3 of 4)



Most angel investors remain fairly anonymous and are matched up with entrepreneurs via referrals.



To find a business angel, an entrepreneur should discreetly work his/her network of acquaintances to see if anyone can make an appropriate introduction.



An advantage that college students have in regard to finding business angels is that many judge college or university-sponsored business plan or business model competitions.

Venture Capital (1 of 6)



Venture capital is money that is invested by venture capital firms in start-ups and small businesses with exceptional growth potential.



A distinct difference between angel investors and venture capital firms is that angels tend to invest earlier in the life of a company, whereas venture capitalists come in later.



The majority of venture capital money goes to follow-on funding for businesses that were originally funded by angel investors, government programs, or by some other means.

Venture Capital (2 of 6)



Venture capital firms are limited partnerships of money managers who raise money in “funds” to invest in start-ups and growing firms.



The funds, or pools of money, are raised from high-net-worth individuals, pension plans, university endowments, foreign investors, and similar sources.



The investors who invest in venture capital funds are called limited partners. The venture capitalists are called general partners.

Venture Capital (3 of 6)



Because in the past venture capitalists have funded high-profile successes such as Google, Facebook, Snap, and Twitter, the industry receives a great deal of attention.



In fact, venture capitalists fund less than 1 percent of new firms.



Many entrepreneurs become discouraged when they are repeatedly rejected for venture capital funding, even though they may have an excellent business plan.



Venture capitalists are looking for the “home run.” The result is that they do not fund the majority of the business plans they receive and review.

Venture Capital (4 of 6)



Still, for firms that qualify, venture capital is a viable alternative to equity funding.



An advantage to obtaining this funding is that venture capitalists are extremely well-connected in the business world and can offer a firm considerable assistance beyond funding.



An important part of obtaining venture capital funding is going through the due diligence process, which refers to the process of investigating the merits of a potential venture and verifying the key claims made in the business plan.

Venture Capital (5 of 6)



Firms that prove to be suitable for venture capital funding should conduct their own due diligence to make sure they end up with a venture capital firm that is a good fit.



They should ask the following questions before accepting funds from a particular venture capital firm.

Do the venture capitalists have experience in our industry?

Do they take a highly active or passive management role?

Are the personalities on both sides of the table compatible?

Venture Capital (6 of 6)

- They should ask the following questions before accepting funds from a particular venture capital firm (continued):
 - Does the firm have deep enough pockets or sufficient contacts within the venture capital industry to provide follow-on rounds of financing?
 - Is the firm negotiating in good faith in regard to the percentage of our firm they want in exchange for their investment?

Initial Public Offering (1 of 3)

- An initial public offering (IPO) is a company's first sale of stock to the public. When a company goes public, its stock is traded on one of the major stock exchanges.
- Most entrepreneurial firms that go public trade on the NASDAQ, which is weighted heavily toward technology, biotech, and small-company stocks.
- An IPO is an important milestone for a firm. Typically, a firm is not able to go public until it has demonstrated that it is viable and has a bright future.

Initial Public Offering (2 of 3)

Reasons that Motivate Firms to Go Public

Reason 1

- Is a way to raise equity capital to fund current and future operations.

Reason 2

- Raises a firm's public profile, making it easier to attract high-quality customers and business partners.

Initial Public Offering (3 of 3)

Reasons that Motivate Firms to Go Public

Reason 3

- Is a liquidity event that provides a means for a company's investors to recoup their investments.

Reason 4

- Creates a form of currency that can be used to grow the company via acquisitions.

Sources of Debt Financing

- Commercial Banks
- Government Guaranteed Loans

Creative Sources of Financing or Funding

Crowdfunding

Leasing

NIC & IGNITE

Other Grant Programs

Strategic Partners

Incubation centers



Crowdfunding

- Crowdfunding is the practice of funding a project or new venture by raising monetary contributions from a large number of people (the “crowd”) typically via the Internet.
- Two Types of Crowdfunding Programs
 - **Rewards-based crowdfunding** allows entrepreneurs to raise money in exchange for some type of amenity or reward.
 - Kickstarter and Indiegogo are the most popular rewards-based crowdfunding sites.
 - **Equity-based crowdfunding** helps businesses raise money by tapping individuals and investors who provide funding in exchange for equity in the business.

Leasing (1 of 2)

- A lease is a written agreement in which the owner of a piece of property allows an individual or business to use the property for a specified period of time in exchange for payments.
- The major advantage of leasing is that it enables a company to acquire the use of assets with very little or no down payment.
- Leases for facilities and leases for equipment are the two most common types of leases that entrepreneurial ventures undertake.

Strategic Partners

- Strategic partners are another source of capital for new ventures.
- Many partnerships are formed to share the costs of product or service development, to gain access to particular resources, or to facilitate speed to market.
- Strategic partnerships that capture these types of benefits can help new ventures lessen their need for funding or financing.